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Case Number: 25CHCV03337 Hearing Date: July 17, 2026 Dept: F43

Dept. F43

Hearing Date: 07-17-26

Case # 25CHCV03337, Washington

Capital Global Finance, Inc. v. Voskericyan, et al.

Trial Date: None set.

PETITION TO COMPEL

ARBITRATION

MOVING PARTY: Plaintiff Washington Capital Global Finance,

Inc.

RESPONDING PARTIES: Defendants Levon Voskericyan and Argentina

Vasquez, in pro per

RELIEF REQUESTED

Order compelling arbitration of this matter,

staying proceedings, and to impose $6,837.75 in attorney fees and costs against

defendants Levon Voskericyan and Argentina Vasquez, jointly and severally.

RULING: Petition to compel arbitration is denied in

part as to defendant Argentina Vasquez and granted in part as to all other

defendants. The court denies Plaintiff’s

request for attorneys’ fees and costs.

The action is stayed pending the outcome of arbitration.

SUMMARY OF ACTION

On September 17, 2025, plaintiff Washington Capital Global Finance, Inc. (Plaintiff) filed a complaint against several defendants, including defendants Levon Voskericyan and Argentina Vasquez. Plaintiff alleges contractual fraud and that defendants failed to repay funds loaned under a promissory note. Plaintiff asserts eleven causes of action: breach of written contract; breach of oral contract; breach of the implied covenant of good faith and fair dealing; conversion; fraud and intentional deceit; negligent misrepresentation; conspiracy to defraud; violation of Racketeer Influenced Corrupt Organization Act; quiet title; quiet title; and violation of Bus. & Prof. Code, §§ 17200, et seq.

Plaintiff alleges the following: Hydrodom Corporation is an entity operated and owned by Serge Gharibian, the Chief Executive Officer of Plaintiff. (Compl. ¶¶ 33, 46-47.) On August 7, 2023, Hydrodom entered into a written Loan and Security Agreement (Loan Agreement) with Defendants, pursuant to which Plaintiff agreed to loan Defendants $1.2 million for cannabis flower. (Id. ¶¶ 46-47.) The Loan Agreement was amended on August 14, 2023. In exchange, Defendants agreed to repay the principal amount of the loan and the $400,000 loan origination fee on or before September 27, 2025. (Id. ¶¶ 49, 54.) Plaintiff fully funded the loan. (Id. ¶ 50.) On September 15, 2023, Mr. Gharibian and Defendants met at a local upscale Los Angeles Restaurant, where Defendants discussed the cannabis success and their real estate portfolio. (Id. ¶ 51.) The purpose of the meeting was to ensure Mr. Gharibian the monies would be repaid on time. (Id. ¶ 52.) Throughout the meeting defendant Levon Voskericyan and a former defendant continuously promised timely repayment. (Id. ¶ 52.) Neither the origination fee nor the loan was not paid by September 27, 2023, and Defendants were therefore in default. (Id. ¶¶ 53-55.)

Defendants agreed to attend a meeting with Mr. Gharibian on December 2, 2023, but only defendant George attended the meeting. (Compl. ¶ 57.) At the meeting, George admitted the money was never used for any cannabis endeavor and that defendants have various other projects for which the money was used, including their homes in Porter Ranch and rare artwork to either display or sell. (Id. ¶ 58.) Defendants also informed Mr. Gharibian that the money was used to invest in the entity defendants with hopes of growing those businesses as well. (Id. ¶ 59.) After the meeting, defendants Levon Voskericyan and George texted Mr. Gharibian, promising to repay the funds. (Id. ¶ 60.) However, Defendants again failed to pay, and on December 20, 2023, a notice of default was delivered to them. (Id. ¶ 62.) Defendants have not repaid the principal amount or loan origination fee. (Id. ¶ 63.) Hydrodom later assigned its rights against Defendants to Plaintiff according to the provisions of the Loan Agreement. (Id. ¶¶ 67, 71, 79.)

On November 12, 2025, defendant Levon Voskericyan filed an answer

On December 29, 2025, this case was reassigned to the Honorable Judge Michael O’Gara.

On March 25, 2026, Plaintiff filed a Substitution of Attorney form naming Armen Manasserian and Manasserian Law, APC as new counsel.

On March 26, 2026, defendant Levon Voskericyan filed an amended answer.

On April 16, 2026, Plaintiff dismissed Sebastian George Voskericyan, Nicolette Voskericyan, Melissa Voskericyan, Christopehr Setrak Voskericyan, and Silva Voskericyan along with the eighth, ninth, and tenth causes of action.

On June 10, 2026, Plaintiff asked defendants to stipulate to arbitration, but Defendants refused.

On June 15, 2026, Plaintiff filed the instant petition to compel arbitration of this matter, stay proceedings, and impose $6,837.75 in attorney fees and costs against defendants Levon Voskericyan and Argentina Vasquez, jointly and severally.
On July 2, 2026, defendant Levon Voskericyan (Voskericyan) filed an opposition in which defendant Argentina Vasquez (Vasquez) joins. Voskericyan and Vasquez are

self-represented. On July 10, 2026, Plaintiff filed a reply.

Also on July 10, 2026, defendant Voskericyan filed a sur-reply in which defendant Vasquez joined. The court disregards these documents because neither defendant sought leave of the court to file a sur-reply.

REQUESTS FOR JUDICIAL NOTICE

Plaintiff asks the court to take judicial notice of the following documents pursuant to Evidence Code section 452, subdivisions (d) and (h):

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Exhibit 4: Copy of the Complaint filed in this action on September 17, 2025;

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Exhibit 7: Copy of the Substitution of Counsel form filed in this action on March 25, 2026;

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Exhibit 8: Copy of the Request for Dismissal of Christopher Setrak Voskericyan filed in this action on April 16, 2026;

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Exhibit 9: Copy of the Request for Dismissal of Nicolette Voskericyan filed in this action on April 16, 2026;

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Exhibit 10: Copy of the Request for Dismissal of Melissa Voskericyan filed in this action on April 16, 2026;

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Exhibit 11: Copy of the Request for Dismissal of Sebastian George Voskericyan filed in this action on April 16, 2026;

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Exhibit 12: Copy of the Request for Dismissal of Silva Voskericyan filed in this action on April 16, 2026;

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Exhibit 13: Copy of the Request for Dismissal of the Eighth Cause of Action (Violation of Racketeer Influenced Corrupt Organization Act) filed in this action on April 16, 2026;

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Exhibit 14: Copy of the Request for Dismissal of Ninth Cause of Action (Quiet Title) filed in this action on April 16, 2026;

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Exhibit 15: Copy of the Request for Dismissal of Tenth Cause of Action (Quiet Title) filed in this action on April 16, 2026.

The court grants Plaintiff's request pursuant to Evidence Code section 452, subdivision (d).

EVIDENTIARY OBJECTIONS

Plaintiff objects to defendant Voskericyan's evidence:

Declaration of Levon Voskericyan

Overruled: 1 in part, 2, 3 in part, 4, 5, 6, 7 in part, 8 in part, 9, 10 in part, 11, 12 in part, 13.

Sustained: 1 in part ("the operative responsive pleading"), 3 in part ("By . . . machinery."), 7 in part ("A party . . . discovery."), 8 in part ("litigating . . . Court."), 10 in part ("Plaintiff . . . April 30, 2025."), 12 in part ("prosecuted . . . Court.").

Supplemental

Declaration of Levon Voskericyan

Overruled: 1, 2, 3, 4, 5, 6, 7, 8, 9, 10, 11, 12, 13,
16, 17.

Sustained: 15.

ANALYSIS

A. Compelling
Arbitration

Civil Procedure Code section 1281.2 empowers the court to compel parties to arbitrate disputes pursuant to an agreement to do so. “The court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: (a) The right to compel arbitration has been waived by the petitioner; or (b) Grounds exist for the revocation of the agreement.” (Code Civ. Proc., § 1281.2, subds. (a), (b).)

California law incorporates many of the basic policy objectives contained in the Federal Arbitration Act, including a presumption in favor of arbitrability. (Engalla v. Permanente Medical Group, Inc. (1997) 15 Cal.4th 951, 971-972.) The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, the party opposing the petition then bears the burden of proving by a preponderance of the evidence any fact necessary to demonstrate that there should be no enforcement of the agreement, and the trial court sits as a trier of fact to reach a final determination on the issue. (Rosenthal v. Great Western Financial Securities Corp. (1996) 14 Cal.4th 394, 413.)

The party moving to compel arbitration must establish the existence of a written arbitration agreement between the parties. (Code Civ. Proc., § 1281.2.) This is usually done by presenting a copy of the signed, written agreement to the court and by including the provisions of the arbitration agreement that provide for arbitration in the petition. (Cal. Rules of Court, rule 3.1330.) The moving party must also establish the other party’s refusal to arbitrate the controversy. (Code Civ. Proc., § 1281.2; Espejo v. Southern California Permanente Medical Group (2016) 246 Cal.App.4th 1047, 1060; see also Bannister v. Marinidence Opco, LLC (2021) 64 Cal.App.5th 541; Hyundai Amco America, Inc. v. S3H, Inc. (2014) 232 Cal.App.4th 572, 577 [filing a lawsuit against the moving party for claims within the scope of the arbitration agreement].)

B. Plaintiff presents a valid and applicable arbitration agreement.

Plaintiff presents the declaration of Serge Gharibian, its Chief Executive Officer, a copy of the executed Loan Agreement containing the arbitration provision, and a copy of an executed Promissory Note Assignment and Assumption of Agreement (Promissory Note Assignment) signed by Mr. Gharibian. (Declaration of Serge Gharibian, Exhs. 1, 3.)

1. Hydrodom assigned its rights and obligations in the Loan and Security Agreement, including the right to compel arbitration, to plaintiff Washington Capital Global Finance, Inc.

According to the Promissory Note Assignment dated April 30, 2025, Hydrodom assigned to Plaintiff all of its rights, title, and interest under the Promissory Note. (Gharibian Decl., Exh. 3, ¶ 1.) Mr. Gharibian signed the Promissory Note Assignment on behalf of Hydrodom and Plaintiff. (Id., Exh. 3, at p. 2.) The Promissory Note Assignment also indicates Green Mountain Holdings, LLC consented to the assignment pursuant to Section 13 of the Promissory Note. (Id., Exh. 3, ¶ 3.) However, as Defendants note, neither the moving papers nor the Complaint include a copy of the promissory note, which is a distinct legal document from the Loan Agreement. (Opposition at pp. 3:23-4:26.)

In response to Defendants' opposition, Plaintiff presents a document titled "Assignment and Assumption of Loan and Security Agreement" dated April 30, 2025 (Assignment), executed by Mr. Gharibian on behalf of Hydrodom and Plaintiff. (Reply Declaration of Serge Gharibian, Exh. 5.) Under the Assignment, Hydrodom assigned to Plaintiff its right, obligations, and liabilities under the Loan Agreement. (Id., Exh. 5, ¶ 2.1.) The Aassignment also contains a dispute resolution provision: "Any dispute or controversy arising from this Agreement shall be subject to the dispute resolution procedures provided for in the Loan Agreement." (Id., Exh. 5, ¶ 5; see also id. at p. 1 [referencing assignment provision (section 14.2) in the Loan Agreement].) According to the Loan Agreement, Hydrodom had the right to assign and transfer its interest in the Loan Agreement without the consent of the Loan Parties, including Green Mountain Holdings, LLC a Delaware entity (the Borrower) and guarantors Grow Bros, LLC, ALL Holdings, LLC, and Green Mountain Holdings, LLC a Nevada entity. (Gharibian Decl., Exh. 1, at p. 27 ¶ 14.2.) Defendant Levon Voskericyan executed the Loan Agreement on behalf of the borrower and the Guarantors. (Id., Exh. 1, at p. 32.)

Therefore, Plaintiff demonstrates it holds Hydrodom's interest and rights in the Loan Agreement.

2. Plaintiff presents an agreement to arbitrate.

The subject arbitration provision is located in the Loan Agreement. (Gharibian Decl., Exh. 1 at pp. 26-28, ¶¶ 13.1-13.8.) On August 7, 2023, Hydrodom and defendant Green Mountain Holdings, LLC entered into the Loan Agreement, pursuant to which Hydrodom agreed to make a term loan in the principal amount of $1.2 million and Green Mountain Holdings, LLC agreed to repay the amount by September 27, 2023. (Id. ¶ 4, Exh. 1.) The Loan Agreement was executed by Hydrodom as lender, Green Mountain Holdings, LLC as borrower, and multiple guarantors. Defendant Voskericyan signed the Loan Agreement as the personal representative of the borrower and the guarantors, and as an individual. The arbitration provision states in part:

13 DISPUTE RESOLUTION WITH DELAWARE RAPID ARBITRATION ACT

13.1 Each of HYDRODOM and each Loan Party hereby agree to arbitrate any and all disputes arising under or related to this Agreement and the Loan Documents, including disputes related to the interpretation of this agreement, under the Delaware Rapid Arbitration Act. This provision shall be governed by Delaware law.

13.2 By executing this Agreement, (i) each party hereby waives, and acknowledges and agrees that it shall be deemed to have waived, any objection to the application of procedures set forth in the DRAA, (ii) consents to the procedures set forth in the DRAA, and (iii) acknowledges and agrees that it has chosen freely to waive the matters set forth in subsections (b) and (c) of Section 5803 of the DRAA. In connection therewith, each party understands and agrees that it shall raise no objection to the submission of the Dispute to Arbitration in accordance with this Section 13.2 and that it waives any right to lay claim to jurisdiction in any venue and any and all rights to have the Dispute decided by jury.

(Gharibian Decl., Exh. 1, ¶¶ 13.1, 13.2.)

Pursuant Loan Agreement Assignment, Plaintiff steps into Hydrodom’s shoes to enforce the Loan Agreement’s terms against the agreement’s borrower and guarantors.

Thus, Plaintiff has presented an agreement to arbitrate its claims against defendant Voskeriycan.

However, it is less clear whether the Loan Agreement compels defendant Vasquez to arbitration.

3. Plaintiff
fails to demonstrate it can compel defendant Argentina Vasquez to arbitrate claims arising from the Loan and Security Agreement.

The petition does not provide a thorough argument explaining whether Vasquez is bound by the Loan Agreement. Plaintiff only states “Section 1281.2(c) is not met here, because it is not the case that ‘[a] party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party.’” (Motion at p. 8:5-8.)

According to Defendants, Vasquez did not sign the Loan Agreement and is not a party to it.
Defendants also note Plaintiff has not stated a recognized basis to bind Vasquez as a non-signatory – agency, equitable estoppel, or third-party-beneficiary status — none of which Plaintiff establishes. Moreover, Code of Civil Procedure section 1281.2, subdivision (c) is met because Vasquez is a party to this action, has appeared in this action, and Plaintiff’s claims arise from the same loan transaction under the Loan Agreement.

For the first time in its reply, Plaintiff contends Vasquez should be compelled to arbitrate because she is the alter ego of Green Mountain Holdings, LLC (Delaware entity). (Compl. ¶ 74 [alleging defendants are alter egos of Green Mountain Holdings, LLC].) Plaintiff also alleges Vasquez owns, operates, and manages defendant entities (Green Mountain Holdings, LLC - Delaware, Green Mountain Holdings - Nevada, QLL Holdings, LLC, American Film Productions, LLC, S Amour, LLC, Stripped, LLC, Grow Brows, LLC, and Mammoth Labs, LLC) with defendants George and Voskericyan. (Compl. ¶ 20.)

The court must order the petitioner and respondent to arbitrate the controversy, unless "[a] party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact. For purposes of this section, a pending court action or special proceeding includes an action or proceeding initiated by the party refusing to arbitrate after the petition to compel arbitration has been filed, but on or before the date of the hearing on the petition." (Code Civ. Proc., § 1281.2, subd. (c).)

"If the court determines that a party to the arbitration is also a party to litigation in a pending court action or special proceeding with a third party as set forth under subdivision (c), the court (1) may refuse to enforce the arbitration agreement and may order intervention or joinder of all parties in a single action or special proceeding; (2) may order intervention or joinder as to all or only certain issues; (3) may order arbitration among the parties who have agreed to arbitration and stay the pending court action or special proceeding pending the outcome of the arbitration proceeding; or (4) may stay arbitration pending the outcome of the court action or special proceeding." (Code Civ. Proc., § 1281.2, subd. (d).)

Here, Plaintiff's own complaint creates this scenario. The court action and the proposed arbitration both arise from the same Loan Agreement and breaches of that agreement. If Vasquez is not compelled to arbitrate, there is a real possibility of conflicting rulings on common issues — for example, whether the LLC breached the agreement, and whether Vasquez is personally liable. However, Plaintiff does not make a showing that Vasquez is connected to any of the entity defendants, even through an alter ego theory.

The alter-ego doctrine is grounded in the principle that courts may disregard the corporate or LLC form when it is used by individuals “to perpetrate a fraud, circumvent a statute, or accomplish some other wrongful or inequitable purpose.” (Angel Lynn Realty, Inc. v. George (2025) 114 Cal.App.5th 655, 663; see also JPV I, L.P. v. Koetting (2023) 88 Cal.App.5th 172, 189 [applying the doctrine to LLCs and their members].) Before the alter ego doctrine will be invoked, two conditions must be met: (1) “a unity of interest and ownership such that the separate personalities of the corporation and the individual do not exist”; and (2) an inequitable result if the acts in question are treated as those of the LLC alone. (JPV I L.P. v. Koetting (2023) 88 Cal.App.5th 172, 189-190.)

Plaintiff bears the burden of proving the existence of an alter ego relationship for the purposes of compelling arbitration. (Watson v. Professional Business Managements Corp. (2026) 120 Cal.App.5th 860.) Plaintiff must make this showing through evidence, not mere allegations. Such a relationship must be established with actual evidence before a non-signatory can be compelled to arbitrate. Allegations in a complaint are insufficient to satisfy this burden. (Id. at pp. 869-871.)

Plaintiff presents the allegations in its Complaint to support this new “alter ego” theory. Moreover, Plaintiff’s supporting evidence, including its responses to defendant Voskericyan’s discovery requests, do not provide an evidentiary basis for demonstrating Vasquez actually owns, operates, and manages any of the entity defendants.

Because Plaintiff’s newly raised alter-ego theory was not included in its original motion, is not supported by evidence, and defendant Vasquez did not sign the Loan Agreement, the court cannot compel defendant Argentina Vasquez to arbitrate Plaintiff’s claims.

4.

Plaintiff’s claims against the defendants are within the scope of the agreement to arbitrate.

The arbitration provision states in relevant part: "13.1 Each of HYDRODOM and each Loan Party hereby agree to arbitrate any and all disputes arising under or related to this Agreement and the Loan Documents, including disputes related to the interpretation of this agreement, under the Delaware Rapid Arbitration Act. This provision shall be governed by Delaware law." (Gharibian Decl., Exh. 1, ¶ 13.1.)

Each of Plaintiff's causes of action arise under the Loan Agreement because Plaintiff's allegations concern the formation and execution of the Loan Agreement, supposedly false statements defendants made in forming the Loan Agreement and performing their obligations under the agreement, defendants' failure to perform their obligations, and the harm resulting from the misrepresentations and breach of the Loan Agreement. (See Compl. ¶¶ 32-69, 70-122, 149-154.)

C. The Loan and Security Agreement and its arbitration provision are enforceable.

Once an arbitration agreement is presented to the court, the burden shifts to the opposing party to challenge the agreement's enforceability with evidence. (Baker v. Italian Maple Holdings, LLC (2017) 13 Cal.App.5th 1152, 1160.)

1. Under both California law and Delaware law, the Loan and Security Agreement is not void due to an unlawful or illegal purpose.

Defendants contend the Loan Agreement is unenforceable because the agreement financed the purchase of cannabis, a Schedule I controlled substance under federal law. (Citing 21 U.S.C. § 812.) Plaintiff alleges the purpose of the Loan Agreement was to invest in a lucrative cannabis business. (Compl. ¶¶ 33-48.) The Loan Agreement states the proceeds of the loan "shall be used solely for the purchase of freshly proven agricultural products, which is cannabis flower." (Gharibian Decl., Exh. 1 at p. 5, ¶ 3.2.)

The Loan Agreement's choice of law provision states the agreement and other loan documents "shall be governed by, and construed in accordance with, the laws of the Delaware, without regard to principles of conflicts of law." (Gharibian Decl., Exh. 1 at p. 26, ¶ 12.) The moving papers do not address Delaware law.

Delaware has enacted the Delaware Marijuana Control Act (DMCA), which legalizes and comprehensively regulates adult-use cannabis businesses, and the Delaware Medical Marijuana Act (DMMA), which authorizes medical cannabis operations. (Del. Code Ann. tit. 4, § 1331; Del. Code Ann. tit. 16, §§ 4750, 4764.) Because cannabis businesses operating under these statutes are lawful under Delaware law, contracts to finance them do not violate Delaware public policy and are not void as illegal contracts. However, such financing agreements must comply with the DMCA's regulatory requirements governing financial interests in cannabis licensees, including mandatory notification and approval by the Marijuana Commissioner. (See generally State v. Taylor (Decl. Super. Ct. 2025) 341 A.3d 586, 581-583 [the loan must be structured as a traditional fixed-repayment arrangement, and the cannabis business must hold the required state license].)

The Delaware Supreme Court has held that "contracts that offend public policy or harm the public are void." (Lincoln Nat'l. Life Ins. Co. v. Joseph Schlanger 2006 Ins. Trust (Decl. 2011) 28 A.3d 436, 441.) Voskericyan fails to provide an evidentiary basis for showing the agreement is illegal under Delaware law: an inappropriate loan structure or that his business does not hold a required license.
Because cannabis businesses operating under the DMCA and DMMA are lawful under Delaware state law, a contract to finance such a business does not violate Delaware law or Delaware public policy.

A separate and important practical consideration is that cannabis remains a Schedule I controlled substance under federal law, which creates significant obstacles to traditional bank financing even where the underlying contract is valid under state law.
Although a cannabis financing contract is not unlawful under Delaware state law, cannabis remains a Schedule I controlled substance under the federal Controlled Substances Act. (21 U.S.C. § 841 et seq.) As a result, cannabis businesses—including those in Delaware—often rely on alternative financing structures such as Simple Agreements for Future Equity (SAFEs), personal loans,

friends-and-family funding rounds, and private equity investment rather than conventional bank loans. (See Foley v. Session Corp. (2025) 345 A.3d 537, 545-547 [seeking capital through Simple Agreements for Future Equity, friends-and-family funding, and personal loans].)

Considering the Loan Agreement at issue is a not a loan from a federally backed financial institution and is a private loan and agreement between friends for investing in a legal cannabis business (Compl. ¶¶ 33-34; Gharibian Decl., Exh. 1.), the court finds that the Loan Agreement is not unenforceable due to the illegality of an unlawful purpose.

2. Defendants fail to demonstrate the Loan and Security Agreement is unenforceable due to being unconscionable.

Defendants assert the Loan Agreement is procedurally and substantively unconscionable. In response, Plaintiff asserts Defendants present zero evidence demonstrating the agreement was unconscionable at the time the agreement was entered into by the parties. (Opposition at p. 8:7-18 [citing Am. Software, Inc. v. Al (1996) 46 Cal.App.4th 1386, 1390; Civ. Code, § 1670.5, subd. (a)].)

Unconscionability is determined at the time the contract is made. "(1) If the court as a matter of law finds the contract or any clause of the contract to have been unconscionable at the time it was made the court may refuse to enforce the contract, or it may enforce the remainder of the contract without the unconscionable clause, or it may so limit the application of any unconscionable clause as to avoid any unconscionable result.
(2) When it is claimed or appears to the court that the contract or any clause thereof may be unconscionable the parties shall be afforded a reasonable opportunity to present evidence as to its commercial setting, purpose and effect to aid the court in making the determination." (Del. Code Ann. tit. 6, § 2-302(a)-(b); James v. Nat'l Financial, LLC (Del. Ch. 2016) 132 A.3d 799, 814-815.)

"California courts analyze unconscionability as having a procedural and a substantive element." (Kinney v. United Healthcare Services, Inc. (1999) 70 Cal.App.4th 1329.) The doctrine of unconscionability refers to “an absence of meaningful choice on the part of one of the parties together with contract terms which are unreasonably favorable to the other party.” (Sonic-Calabasas A, Inc. v. Moreno (2013) 57 Cal.4th 1109, 1133.) It consists of procedural and substantive components, “the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results.” (Id.) Although both components of unconscionability must be present to invalidate an arbitration agreement, they need not be present to the same degree. (Armendariz v. Found. Health Psychcare Servs., Inc. (2000) 24 Cal.4th 83, 114.) “In other words, the more substantively unconscionable the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (Id.) “The party resisting arbitration bears the burden of proving unconscionability.” (Pinnacle Museum Tower Ass’n v. Pinnacle Market Dev. (US), LLC (2012) 55 Cal.4th 223, 247 (Pinnacle).)

a. Defendants fail to demonstrate the Loan and Security Agreement is procedurally unconscionable.

Defendants contend the arbitration provision is procedurally unconscionable because “it is a term of an adhesive, lender-drafted commercial lending instrument, presented on a take-it-or-leave-it basis, set out in Section 13 of a lengthy agreement, and now invoked against a self-represented individual.” (Opposition at p. 8:19-21.)

“Procedural unconscionability concerns the manner in which the contract was negotiated and the circumstances of the parties at that time. It focuses on factors of oppression and surprise.” (Pinnacle, supra, 55 Cal.4th at p. 247.) “Surprise differs from oppression. Surprise is when a prolix printed form conceals the arbitration provision. Oppression, on the other hand, occurs when there is a lack of negotiation and meaningful choice. The presence of surprise or oppression requires higher scrutiny of the contract.” (Torrecillas v. Fitness International, LLC¿(2020) 52 Cal.App.5th 485, 493, citations omitted.)

“Adhesion contracts are form contracts a party with superior bargaining power offers on a take-it-or-leave-it basis.” (Torrecillas, supra, 52 Cal.App.5th at p. 493.) Where a contract of adhesion includes the unequal bargaining power of contracting parties, with the weaker party’s inability to negotiate, this may indicate procedural unconscionability in the form of surprise or oppression. (See Thompson v. Toll Dublin, LLC (2008) 165 Cal.App.4th 1360, 1372.) In the absence of “surprise or other sharp practices,” courts do not recognize that “adhesive” arbitration agreements establish a high degree of procedural unconscionability. (Baltazar v. Forever 21 Inc. (2016) 62 Cal.4th 1237, 1246.)

Furthermore, the Delaware Court of Chancery has identified ten factors to guide the unconscionability analysis: (1) The use of printed form or boilerplate contracts drawn skillfully by the party in the strongest economic position, which establish industry wide standards offered on a take it or leave it basis to the party in a weaker economic position[;] (2) a significant cost-price disparity or excessive price; (3) a denial of basic rights and remedies to a buyer of consumer goods[;] (4) the inclusion of penalty clauses; (5) the circumstances surrounding the execution of the contract, including its commercial setting, its purpose and actual effect[;]

(6) the hiding of clauses which are disadvantageous to one party in a mass of fine print trivia or in places which are inconspicuous to the party signing the contract[;] (7) phrasing clauses in language that is incomprehensible to a layman or that divert his attention from the problems raised by them or the rights given up through them; (8) an overall imbalance in the obligations and rights imposed by the bargain; (9) exploitation of the underprivileged, unsophisticated, uneducated and the illiterate[;] and (10) inequality of bargaining or economic power.” (James v. Nat’l Financial, LLC (Del. Ch. 2016) 132 A.3d 799, 814-815.)

Although the Loan Agreement as written appears to be an adhesion contract, defendant Voskericyan fails to present evidence which demonstrates any bad faith conduct at the time the agreement was negotiated and executed. Moreover, several aspects of the agreement make the document less unconscionable. First, each provision is identified with bold font which is capitalized and underlined. Next, Voskericyan executed the Loan Agreement five times on behalf of himself and four other entities. The

text above the signature block reads:
“IN WITNESS WHEREOF, the parties hereto have caused this Agreement to be executed as of the Closing Date.”
(Gharibian Decl., Exh. 1 at p. 31.)
Finally, Voskericyan asserts unfairness because the Loan Agreement is being invoked against a self-represented individual. However, Voskericyan does not state whether he was self-represented or wrongfully induced into signing the agreement when he executed the agreement on August 7, 2023.

Although the Loan Agreement has a minimal degree of procedural unconscionability due to being an adhesion contract, this alone is insufficient to render the agreement unenforceable. (Sanchez v. Valencia Holding Co., supra, 61 Cal.4th at p. 915 [“[A] finding of procedural unconscionability does not mean that a contract will not be enforced, but rather that courts will scrutinize the substantive terms of the contract to ensure they are not manifestly unfair or one-sided.”].)

b. Defendants fail to demonstrate the Loan and Security Agreement is substantively unconscionable.

When there is little procedural unconscionability, a party opposing arbitration must show substantial substantive unconscionability. (Armendariz v. Found. Health Psychcare Service, Inc., supra, 24 Cal.4th at p. 114.) “Substantive unconscionability” focuses on the terms of the arbitration agreement and whether those terms are “overly harsh or one-sided.” (Kinney, supra, 70 Cal.App.4th at p. 1330; Carmona v. Lincoln Millennium Car Wash, Inc.¿(2014) 226 Cal.App.4th 74, 85.) Such terms include: those “that impair the integrity of the bargaining process or otherwise contravene the public interest or public policy; terms (usually of an adhesion or boilerplate nature) that attempt to alter in an impermissible manner fundamental duties otherwise imposed by the law, fine-print terms, or provisions that seek to negate the reasonable expectations of the nondrafting party, or unreasonably and unexpectedly harsh terms having to do with price or other central aspects of the transaction.”
(Sonic-Calabasas A, Inc. v. Moreno, supra, 57 Cal.4th at

p. 1145, citations omitted; see also Sanchez v. Valencia Holding Co., LLC, supra, 61 Cal.4th at pp. 910-913.)

Defendants contend the arbitration provision is substantively unconscionable because its seats arbitration in Delaware; requires the parties to split the arbitrator's fees and costs; strips any right of challenge, appeal, or judicial review of the award; requires the parties to waive statutory protections under the Delaware Rapid Arbitration Act and any objection to venue; and imposes strict confidentiality.

First, Voskericyan's "seats arbitration" argument fails because the Loan Agreement states the arbitration "shall take place in Los Angeles, California, or such other location as the parties and the Arbitrator may agree." (Gharibian Decl., Exh. 1 at p. 26, ¶ 13.4) Second, the agreement removes all parties' rights to appeal rather than just defendants' rights. Third, Section 5803(b)-(c) lists the statutory protections a party to an arbitration agreement is deemed to have waived and consented to under Delaware's arbitration law. (See Del. Code Ann., tit. 10 § 5803(b)-(c).) Moreover, Voskericyan fails to explain his issues with Section 13.6's requirements.

Finally, the fee splitting provision does not make the Loan Agreement unconscionable. The agreement states: "Each party hereto shall bear its own legal fees and costs in connection with the Arbitration; provided, however, that each such party shall pay one-half of any filing fees, fees and expenses of the Arbitrator or other similar costs incurred by the parties in connection with the prosecution of the Arbitration." (Gharibian Decl., Exh. 1 at p. 27, ¶ 13.7.)

Voskericyan contends that as an indigent, self-represented defendant he cannot be ordered to abide by Section 13.7. (Citing Roldan v. Callahan & Blaine (2013) 219 Cal.App.4th 87; Aronow v. Superior Court (2022) 76 Cal.App.5th 865; and Hang v. RG Legacy I, LLC (2023) 88 Cal.App.5th 1243.) An arbitration fee clause that requires a consumer to pay their own filing fees is not unconscionable unless the consumer shows that the filing fees are unaffordable. (Sanchez v. Valencia Holding Co., LLC, supra, 61 Cal.4th 899; Gutierrez v. Autowest, Inc. (2003) 114 Cal.App.4th 77; see also Civ. Code, §§ 1284.3, subds., (a)-(b)(1)-(3).)

Other than his fee waiver form, Voskericyan presents no other proof of his inability to pay his portion of the arbitration costs. Furthermore, neither party has chosen an arbitration company, filed the appropriate paperwork to determine the estimated arbitration fees, or determined the arbitration company's standards for granting hardship relief.

As Plaintiff notes, Code of Civil Procedure section 1284.2 uses fee splitting as the default for arbitration. Furthermore, Section 1284.3 provides, "All fees and costs charged to or assessed upon a consumer party by a private arbitration company in a consumer arbitration, exclusive of arbitrator fees, shall be waived for an indigent consumer." (Code Civ. Proc., § 1284.3, subd. (b)(1).) Under Delaware's arbitration law, unless otherwise provided in an agreement, an arbitrator's fees and expenses, together with other expenses incurred in the conduct of an arbitration (but not including counsel fees of parties to the arbitration), shall be borne as provided in a final award. (Del. Code Ann. tit. 10, § 5806(b)-(c).) Here, because the Loan Agreement incorporates the language from Section 1284.2, that language overrides Delaware law.

Without further evidence of the costs of arbitration and Voskericyan's current financial status as to those costs, the court finds that Voskericyan has not met its burden as to demonstrating the Loan Agreement is unconscionable.

Plaintiff has stated a willingness to incorporate Section 1284.3's "indigent consumer" waiver of fees into the court's order as to the defendants. Absent any opposition from Defendants at the hearing on the petition, the court is willing to adopt Plaintiff's suggestion as to the "indigent waiver."

D. The evidence demonstrates Plaintiff has not waived the right to arbitrate this matter.

The court must order arbitration unless it determines that the right to compel arbitration has been waived by the petitioner." (Code Civ. Proc., § 1281.2, subd. (a).) The issue of waiver by litigation conduct is decided by the trial court, not an arbitrator. (Engalla v. Permanente Med. Grp., Inc. (1997) 15 Cal.4th 951, 982, fn. 14 [citing Code Civ. Proc., § 1281.2, subd. (a)].)

"[A] court should apply the same principles that apply to other contracts to determine whether the party seeking to enforce an arbitration agreement has waived its right to do so." (Quach v. California Commerce Club, Inc. (2024) 16 Cal.5th 562, 569 [citing Morgan v. Sundance, Inc. (2022) 596 U.S. 411, 418].) "To establish waiver under generally applicable contract law, the party opposing enforcement of a contractual agreement must prove by clear and convincing evidence that the waiving party knew of the contractual right and intentionally relinquished or abandoned it. Under the clear and convincing evidence standard, the proponent of a fact must show that it is 'highly probable' the fact is true. The waiving party's knowledge of the right may be 'actual or constructive.' Its intentional relinquishment or abandonment of the right may be proved by evidence of words expressing an intent to relinquish the right or of conduct that is so inconsistent with an intent to enforce the contractual right as to lead a reasonable fact finder to conclude that the party had abandoned it." (Id. at p. 584, citations omitted.) "The waiver inquiry is exclusively focused on the waiving party's words or conduct; neither the effect of that conduct on the party seeking to avoid enforcement of the contractual right nor that party's subjective evaluation of the waiving party's intent is relevant." (Id. at p. 585.)

California courts apply a totality-of-the-circumstances test and reject a divide-and-conquer approach that examines each act of litigation conduct in isolation. (Hofer v. Boladian (2025) 111 Cal.App.5th 1, 14; Armstrong v. Michaels Stores, Inc. (9th Cir. 2023) 59 F.4th 1011, 1015 [stating under Morgan, courts must examine "'the totality of the parties' actions'" to determine "whether those actions holistically 'indicate a conscious decision . . . to seek judicial judgment on the merits of the arbitrable claims, which would be inconsistent with a right to arbitrate'"].)

Defendants contend Plaintiff waived its right to arbitration by litigating this case for nine months. Defendants present several acts which demonstrate an intentional waiver: (1) choosing to file the action in this court based on the very Loan and Security agreement containing the arbitration clause; (2) dismissing three causes of action and five defendants; (3) noticing defendant Voskericyan's deposition; (4) serving verified responses to defendant Voskericyan's written discovery and seeking an extension of time to do so; (5) opposing Voskericyan's sanctions motions. Plaintiff performed these acts before demanding arbitration. Even considering the change in counsel, Plaintiff's current counsel has actively litigated this matter for roughly three months.

The most significant act that weighs in favor of "waiver" is that Plaintiff filed this action in court despite knowing that the underlying contract (Loan and Security Agreement) contains an agreement to arbitrate. The Complaint does not mention arbitration and does not seek to reserve the right to arbitrate Plaintiff's claims. Moreover, Plaintiff did not request a stipulation to arbitration until nine months after filing the Complaint. (Voskericyan Decl. ¶ 17, Exh. K [email from plaintiff's counsel].) The silence concerning arbitration and the nine-month delay in enforcing the right to arbitrate evidences, evidences a relinquishment of the right to arbitrate. (See Hofer v. Boladian (2025) 111 Cal. App. 5th 1, 13-14, 16-17; see also Campbell v. Sunshine Behavioral Health, LLC (2024) 105 Cal.App.5th 419, 432.) In Quach, the court found waiver where the party waited 13 months to move to compel arbitration while actively engaging in litigation conduct inconsistent with an intent to arbitrate, including answering the complaint, propounding discovery, requesting a jury trial, and taking a deposition. (Quach, supra, 16 Cal. 5th at p. 587. But see also id. at pp. 586-587 [finding waiver where arbitration only raised as a defense in the answer, defendant demanded a jury trial, and actively pursued discovery].)

Unlike the party in Quach, the evidence does not demonstrate that Plaintiff has actively litigated this matter since filing its Complaint. On its own, the court record indicates Plaintiff has filed a Complaint, served defendants, changed counsel, filed a case management statement, and filed the instant motion. Plaintiff's other conduct appears to be in response to defendants conduct. In response to defendant Voskericyan's motions for sanctions, Plaintiff dismissed several defendants and three causes of action. Plaintiff served responses to Voskericyan's discovery requests, filed oppositions in response to Voskericyan's discovery motions, sanctions motions, and protective order motion. (Declaration of Brent A. Kramer, Exhs. 4, 8-15; Reply Gharibian Decl., Exh. 1-4 [discovery responses].)

The act weighing most heavily against waiver is that Plaintiff served objection-only discovery responses and expressly raised the right to arbitrate in those responses. (Roman v. Superior Court (2009) 172 Cal.App.4th 1462, 1478-1479 [finding no waiver party served only objections to discovery requests and no substantive discovery responses had been served by either side].) Plaintiff served its objection-only responses to Voskericyan's special interrogatories, requests for production, requests for admission, and form interrogatory 17.1 on June 2, 2026. (Reply Declaration of Brent A. Kramer, Exhs. 1-4.) Each response stated it was not Plaintiff's intent to waive the right to arbitrate any and all disputes under the Loan Agreement. (See id., Exhs. 1-4.) Voskericyan originally served the discovery requests on May 21, 2026. (Voskericyan Decl., Exh. E.)

Plaintiff has engaged in some discovery, serving a deposition notice on Voskericyan on April 18, 2026 and a deposition notice on defendant Vasquez on May 5, 2026. (Voskericyan Decl. ¶¶ 10, 13.) Courts have found waiver where a party took the opposing party's deposition and obtained all the discovery the party deemed necessary. (Diaz v. Professional Community Management, Inc. (2017) 16 Cal.App.5th 1190, 1215-1215, fn. 10 [focusing on engagement in discovery rather than how much discovery was obtained].) According to Quach, actively engaging in discovery, even if unhelpful, is inconsistent with an intent to arbitrate. (Quach, supra, 16 Cal. 5th at p. 587.) Unlike the parties in Diaz and Quach, Plaintiff noticed two depositions but never took the depositions. (Reply Kramer Decl. ¶ 4.) Moreover, Plaintiff has not served any other discovery.

Plaintiff's objection-only responses, which affirmatively raised the right to arbitrate, combined with the absence of substantive discovery participation supports a finding against waiver.

Next, Plaintiff's filing of oppositions to Voskericyan's numerous motions is a form of litigation conduct, but it is largely defensive in nature. In Hofer v. Boladian, the court found waiver based on the moving party's affirmative conduct – filing a complaint, seeking injunctive relief, propounding hundreds of discovery requests, demanding a jury trial, and posting jury fees. (Hofer, supra, 111 Cal.App.5th at pp. 8, 11-17.) Here, defendant Voskericyan is the party who affirmatively invoked the litigation machinery by filing the motions. Voskericyan cites no case law which holds a party waives its right to arbitrate solely by filing oppositions to motions filed by the opposing party.

Similarly, Plaintiff's dismissal of several defendants and causes of action in response to defendant Voskericyan's sanctions motions is not typically treated as litigation conduct inconsistent with a right to arbitrate. Nor does Voskericyan cite any case law stating as such. Regardless, this does not weigh in favor of waiver.

Finally, as mentioned previously, Plaintiff knew about the right to arbitrate in September of 2025. However, Plaintiff filed this action and took no further substantive action until March of 2026 when it procured new counsel and subsequently filed its Case Management Statement.

Based on Plaintiff's lack of action from September of 2025 through March of 2026, Plaintiff's responsive conduct in opposing Defendants' motions, Plaintiff providing objection-only discovery responses, and Plaintiff noticing two depositions that never occurred, the court finds the evidence demonstrates Plaintiff has not waived its right to arbitrate its claims under the Loan and Security Agreement.

Therefore, the court grants in part Plaintiff's petition to compel arbitration of its claims. The petition is denied in part as to defendant Argentina Vasquez.

E. Plaintiff's Request for Attorneys' Fees and Costs.

Plaintiff asks the court impose $6,837.75 in attorney fees and costs against defendants Voskericyan and Vasquez, jointly and severally, pursuant to Civil Code section 1717 and section 14.10 of the Loan Agreement:

Attorneys'
Fees, Costs and Expenses. Except as otherwise set forth in this Agreement, in any action or proceeding among Loan Parties and Hydrodom arising out of or relating to the Loan Documents, the prevailing party shall be entitled to recover its reasonable attorneys' fees and other costs and expenses incurred, in additional to any other relief to which it may be entitled.

(Gharibian Decl., Exh. 1 at p. 29, ¶ 14.10.)

"In any action on a contract, where the contract specifically provides that attorney's fees and costs, which are incurred to enforce that contract, shall be awarded either to one of the parties or to the prevailing party, then the party who is determined to be the party prevailing on the contract, whether he or she is the party specified in the contract or not, shall be entitled to reasonable attorney's fees in addition to other costs." (Civ. Code, § 1717, subd. (a).)

Section 1717 is an improper legal basis for awarding attorney fees and costs related to Plaintiff's petition to compel arbitration. (See Roberts v. Packard, Packard & Johnson (2013) 217 Cal.App.4th 822, 832-834.) Based on a plain meaning of section 1717, a petition to compel arbitration that is filed in a pending lawsuit is not an "action" and "attorney fees cannot be awarded to the prevailing party, if any, until the requests for relief—the causes of action—are ultimately resolved. When such a petition is granted, the proceedings have not 'terminate[d].' . . . [I]n ruling on a petition to compel arbitration, the trial court cannot yet determine which party, if any, 'recovered a greater relief in the action on the contract.' Nor can the ruling on a petition to compel arbitration, when filed in a pending lawsuit, be equated with 'the entire judicial proceeding.'" (See Roberts, supra, 217 Cal.App.4th at pp. 832-833, citations omitted.)

"A petition to compel arbitration filed in a pending lawsuit is 'part of the underlying action'; it is not a distinct action." (Roberts, supra, 217 Cal.App.4th at p. 834, citations and quotations omitted; see also id. at pp. 835-836 [discussing the Otay River Constructors case in which attorney fees were awarded because the petition to compel arbitration was the sole reason an action was filed, rather than being part of the action].)

Therefore, the court denies Plaintiff's request for attorneys' fees and costs.

CONCLUSION and ORDER

Petition to compel arbitration is denied in part as to defendant Argentina Vasquez and granted in part as to all other defendants. The court denies Plaintiff's request for attorneys' fees and costs.

The action is stayed pending the outcome of arbitration.

Plaintiff Washington Capital Global Finance, Inc. to give notice.